

Hims & Hers Health Inc Ordinary Shares - Class A HIMS ★★★★★ 6 Mar 2026 22:52, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment¹
15.74 USD 6 Mar 2026	23.00 USD 24 Feb 2026 00:29, UTC	0.68	5.08 USD Bil 9 Mar 2026	None	Small Growth	Very High	Standard	 4 Mar 2026 06:00, UTC

Sector

 Healthcare

Industry

Drug Manufacturers - Specialty & Generic

Business Description

Hims & Hers Health Inc operates telehealth platforms, providing access to treatments for various chronic conditions, including those related to sexual health, hair loss, hormone health, weight loss, dermatology, and mental health, as well as services such as comprehensive laboratory testing. The company connects patients to licensed healthcare professionals who can prescribe medications, with prescriptions fulfilled online through licensed pharmacies. In addition, it offers access to various non-prescription health and wellness products. Through the Hims & Hers mobile applications, the company also offers access to educational programs, wellness content, community support, and other services that promote lifelong health and wellness. Geographically, it derives maximum revenue from the USA.

for the segment, driven by an uptick in sales for oral branded GLP-1s. However, we believe short-term margins will be marginally weaker. Taken together, this has an immaterial effect on our estimate of intrinsic valuation.

- The dynamics of this pivot are unclear, and we are interested to see how Hims' transition away from compounding unfolds. The press release arguably leaves the door open for patients to remain on compounded drugs, but Novo can always refile its lawsuit if their usage doesn't significantly decline.

Business Strategy & Outlook Keonhee Kim, Equity Analyst, 23 Feb 2026

Hims & Hers is one of the leading telehealth firms in the US. Since its 2017 launch, the platform has connected patients with healthcare providers across specialties including erectile dysfunction, hair loss, and weight loss. Subscribers have soared from 290,000 at the end of 2020 to over 2.5 million in 2025, with roughly half of the growth driven by the late-2023 launch of its weight-loss program. The introduction of compounded GLP-1s (diabetes and weight-loss) in May 2024, amid the branded medication shortage, spurred significant demand for the platform. However, following the US Food and Drug Administration's resolution on the semaglutide shortage in February 2025 and the end of enforcement discretion for 503B compounders in May, we expect weight-loss revenue to decline sharply from \$740 million in 2025 to below \$550 million in 2026.

While weight loss is losing steam, the rest of the platform has grown steadily over the last three years, and we expect this to continue over our 10-year forecast period. By our estimates, sexual health and hair and skin care made up roughly 30% and 34% of total revenue in 2025, respectively, and we expect both to generate a midteens 10-year compounded annual growth rate thanks to an increasing focus on personal care. The share of subscribers with at least one personalized solution has risen from 15% in 2022 to over 60% in 2025, which should further strengthen retention and cross-selling opportunities.

Hims has historically fueled growth through heavy advertising and marketing efforts, including a 2025 Super Bowl ad, but we expect more organic customer wins going forward as brand recognition improves, word-of-mouth spreads, and demand for personalized, convenient online care increases. We model customer acquisition costs as a share of revenue to decline from 40% in 2024 to 33% by 2030, supporting greater operating leverage and margin expansion. We estimate adjusted EBITDA margins to rise from 12% in 2024 to over 20% by 2030 and think higher profitability should bolster free cash flow generation, enabling Hims to reinvest in the platform and pursue tuck-in acquisitions to expand its product offerings and geographic reach.

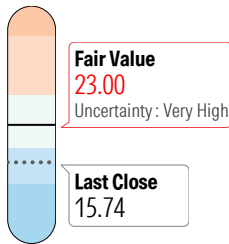
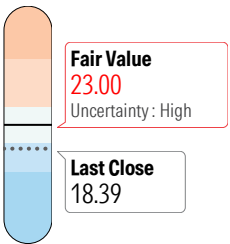
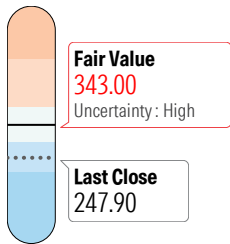
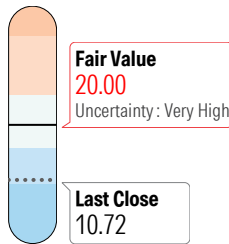
Bulls Say Keonhee Kim, Equity Analyst, 24 Feb 2026

- An increasing shift to digital healthcare underpins long-term growth potential for Hims' subscribers.
- Hims targets one to two new specialty entries every year. With a proven track record of cross-selling across its subscribers, new therapies should offer further growth opportunities.

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Competitors

	Hims & Hers Health Inc - Class A HIMS	Kenvue Inc KVUE	Novo Nordisk AS Class B NOVO B	Perrigo Co PLC PRGO
	 Fair Value 23.00 Uncertainty: Very High Last Close 15.74	 Fair Value 23.00 Uncertainty: High Last Close 18.39	 Fair Value 343.00 Uncertainty: High Last Close 247.90	 Fair Value 20.00 Uncertainty: Very High Last Close 10.72
Economic Moat	None	Wide	Wide	None
Currency	USD	USD	DKK	USD
Fair Value	23.00 24 Feb 2026 00:29, UTC	23.00 3 Nov 2025 20:58, UTC	343.00 23 Feb 2026 18:59, UTC	20.00 26 Feb 2026 22:11, UTC
1-Star Price	40.25	35.65	531.65	35.00
5-Star Price	11.50	13.80	205.80	10.00
Assessment	Undervalued 6 Mar 2026	Undervalued 6 Mar 2026	Undervalued 9 Mar 2026	Undervalued 6 Mar 2026
Morningstar Rating	★★★★★ 6 Mar 2026 22:52, UTC	★★★★★ 6 Mar 2026 22:54, UTC	★★★★★ 7 Mar 2026 08:05, UTC	★★★★★ 6 Mar 2026 22:35, UTC
Analyst	Keonhee Kim, Equity Analyst	Keonhee Kim, Equity Analyst	Karen Andersen, Director	Keonhee Kim, Equity Analyst
Capital Allocation	Standard	Standard	Exemplary	Standard
Price/Fair Value	0.68	0.80	0.72	0.54
Price/Sales	1.73	2.34	3.57	0.35
Price/Book	6.61	3.27	5.68	0.50
Price/Earning	31.71	20.60	11.29	—
Dividend Yield	0.00%	4.50%	4.70%	10.82%
Market Cap	3.59 Bil	35.25 Bil	1,101.57 Bil	1.48 Bil
52-Week Range	13.74—70.43	14.02—25.17	224.25—622.60	10.65—29.08
Investment Style	Small Growth	Mid Value	Large Blend	Small Value

- Geographic expansion into markets like Western Europe widens Hims' total addressable market, and management can apply findings from the US market to effectively target and win new subscribers.

Bears Say Keonhee Kim, Equity Analyst, 24 Feb 2026

- By providing weight-loss offerings after the end of the branded semaglutide shortage, albeit at personalized doses, Hims runs the risk of legal actions from big pharmaceutical counterparts like Novo Nordisk as well as regulatory actions from the FDA.
- Failure to optimize customer acquisition costs could weigh down subscriber growth and put pressure on margin, two figures crucial to Hims' long-term targets.
- Barriers to entry in the telehealth space are low, and newcomers as well as existing players could steal future patients and limit Hims' long-term growth potential.

Economic Moat Keonhee Kim, Equity Analyst, 17 Sep 2025

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We assign Hims & Hers a no-moat rating because we do not believe the firm possesses any structural advantages sufficient to generate excess returns over the next 10 years.

Hims operates primarily on a subscription model, offering treatments in areas such as sexual health, hair loss, mental health, and weight loss. Customers select a condition and, if necessary, consult with healthcare professionals before starting treatment. The company's portfolio consists largely of off-patent pharmaceuticals fulfilled through affiliated pharmacies, often in customized dosages designed to meet individual needs and reduce side effects. As of August 2025, the platform counts roughly 2.5 million subscribers, with more than 60% using at least one personalized solution. While Hims does not disclose subscriber retention, we estimate it at 65%-85%, with patients using personalized solutions at the higher end of the range.

Since going public in January 2021, Hims has delivered rapid growth, expanding from 290,000 subscribers at year-end 2020 to 2.2 million by year-end 2024, a four-year CAGR of 67%. Growth was fueled by rising demand for GLP-1s, strong marketing—including a 2025 Super Bowl ad—and increasing brand visibility across social media and word-of-mouth. These drivers not only supported subscriber growth but also helped the company achieve positive EBITDA, with adjusted margins improving from negative 5.5% in 2020 to 12% in 2024.

Despite this strong trajectory, we do not see evidence that Hims possesses a structural competitive advantage that warrants a moat rating. Barriers to entry in telehealth remain low, and new entrants can replicate Hims' offerings with relative ease.

Reviewing Hims' portfolio, we don't see signs of revolutionary or meaningfully different products that a patient can only get from the platform and not from competing players. For instance, Hims' hair care offerings largely repackage finasteride and minoxidil—off-patent ingredients found in Propecia and Rogaine—and various supplements. While Hims tries to differentiate itself by offering a mixed combination of these active ingredients and in different forms like chewables, topical sprays, and topical serums, we don't see any material efficacy differences between Hims' products and over-the-counter products. Furthermore, competing telehealth firms like Ro and Keeps also offer their own versions of finasteride/minoxidil combinations in similar, if not the same, dosages and forms, leaving patients with a variety of options. We think this curbs potential pricing power that Hims can attain over peers despite its brand presence, and our analysis is substantiated by the fact that near-identical products from Ro and Keeps carry similar prices. We reach a similar conclusion in categories such as sexual health and weight loss, where Hims' offerings are not meaningfully distinct from peers.

We concede that Hims' ROICs over the past three years look impressive, which could potentially point to signs of a moat, at least from a purely quantitative standpoint. The firm consistently generated an adjusted ROIC above 30% from 2022 to 2024, far exceeding our assumed WACC of 9%. However, we

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believe this paints an irregular and temporary picture as the firm benefited from unique tailwinds, including pandemic-driven adoption of virtual care in 2021 and a branded semaglutide shortage in 2024.

Looking ahead, we think these dynamics are unlikely to persist and expect both subscriber growth and ROIC to moderate as the base expands and competition intensifies. While Hims has looked to support growth via international expansion and new specialty entries, we don't fully buy into the idea that these initiatives will provide a meaningful competitive advantage. We believe that Europe's differing healthcare systems and regulatory hurdles could prove challenging to simply copy and paste the US model, and new specialties like hormone therapy and menopause care are not challenging for a peer to replicate. As a result, we expect ROIC to trend downward starting in 2025, reaching around 10% by our midcycle year.

Fair Value and Profit Drivers Keonhee Kim, Equity Analyst, 24 Feb 2026

We lower our fair value estimate for no-moat Hims to \$23 from \$25 after adjusting our assumptions to account for elevated costs related to geographic expansion, new therapy launches, and heightened competition.

Our 2026 estimates of \$2.8 billion in revenue and \$330 million in EBITDA reflect low-teen subscriber growth, mid-single-digit monthly revenue per subscriber growth, and increased expenses to support a continued international push.

Over our 10-year forecast, we expect low-teens compound annual top-line growth and substantial margin expansion. We model subscribers to grow from 2.5 million at the end of 2025 to about 4.8 million by 2034, driving much of the revenue tailwind. As patients increasingly seek convenient, personalized healthcare, the broad-based telehealth space should benefit from secular tailwinds. We think Hims should maintain a healthy market share thanks to the brand equity and trust the firm built in recent years, supporting retention and attracting new customers.

That being said, our forecast falls short of management's long-term targets. In May 2025, Hims announced 2030 guidance of at least \$6.5 billion in revenue and \$1.3 billion in adjusted EBITDA, implying a six-year revenue CAGR of 28% and margins rising from 12% in 2024 to 17.5%. By contrast, our model assumes \$4.2 billion in revenue and roughly \$730 million in adjusted EBITDA. While we think the margin target is achievable by 2032, we are conservative on revenue, citing the challenges of maintaining double-digit growth at scale, competitive pressures, and uncertainty around new specialties.

We expect operating leverage from subscriber growth, improved cost management as new facilities scale, and stronger cross-selling. Recent acquisitions in 2024–25 expanded Hims' manufacturing

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footprint, which should enhance gross margin through increased capacity and lower per-unit costs. On operating expenses, we model customer acquisition and marketing spending as a percentage of sales declining as subscriber growth drives more organic interest through brand recognition and word-of-mouth.

Risk and Uncertainty Keonhee Kim, Equity Analyst, 23 Feb 2026

We assign a Very High Uncertainty Rating for Hims, which largely reflects our quantitative analysis of the firm based on the return ranges used by our star rating system as well as the competitive nature of the telehealth market.

Despite the semaglutide shortage ending in February 2025, Hims still offers compounded semaglutide through section 503A(b)(2) of the Federal Food, Drug, and Cosmetic Act that allows the manufacturing of a compounded drug as long as enough change was made to the drug so that it has a significant difference for the patient compared with the branded dose. We think continued production and sale of compounded GLP-1s could create a legal and/or regulatory risk overhang for the firm for the foreseeable future. Novo Nordisk, the manufacturer of branded semaglutide products Ozempic and Wegovy, filed lawsuits against Hims in February 2026 after it tried to launch its own oral semaglutide. Even though the pill was pulled, Novo is seeking redress (possibly royalties or lost profits) on top of a permanent ban on all compounded semaglutide products.

Hims shares are highly volatile, and we have seen big price swings on any news or headlines with impact on its weight-loss portfolio over the past 12 months, so future GLP-1 market regulation or litigation could have a meaningful impact on share price.

Outside of weight loss, we don't see notable material risks to Hims' business. Barriers to entry in the telehealth space are low, and newcomers could chip away at Hims' share. But we think this threat remains low, as the majority of Hims subscribers have personalized solutions and tend to stick with their own prescription/products.

Capital Allocation Keonhee Kim, Equity Analyst, 24 Feb 2026

We assign Hims a Standard Capital Allocation Rating, reflecting our forward-looking assessments of the firm's financial health, investment strategy and efficacy (organic and inorganic), and shareholder distribution policy. Our view is based on Hims' sound balance sheet, fair investment track record, and appropriate shareholder distribution practices.

We rate Hims' balance sheet as sound. Before issuing \$1 billion in 0% convertible notes in 2025, the firm carried no debt since going public in 2021 and began generating positive free cash flow in 2023. While we model capital expenditures rising significantly from \$50 million in 2024 to over \$200 million in 2025, we expect healthy revenue growth and expanding operating leverage to support consistent free cash flow generation across our 10-year forecast.

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We think Hims faces medium business risk. We think subscriber churn is relatively low given that over 90% of customers are on multiple 30-day subscriptions and most, if not all, Hims products show limited seasonality. While categories such as hair care and weight loss are discretionary and could be influenced by macroeconomic conditions, Hims' retention rate—estimated at 65%-85%—exceeds that of traditional beauty or branded GLP-1 peers, underscoring greater customer stickiness.

We consider Hims' investments fair. Since 2024, all acquisitions have been funded with cash on hand and strategically aligned. MedisourceRx and the California peptide facility strengthen Hims' supply chain capacity, while Zava expands geographic reach. The Eucalyptus acquisition, announced February 2026, is Hims' largest purchase to date, with the purchase price valued at \$1.15 billion. Though this sits outside of the usual deal size that Hims historically targeted, we think the deal structure, consisting of \$240 million upfront payment and the remaining \$900 million in guaranteed and milestone payments through 2029, gives us a high level of confidence that the acquisition shouldn't challenge the firm's balance sheet. We expect further small tuck-in deals in the near future focused on scaling up capacity, automating supply chain processes, and supporting new personalized offerings.

We see Hims' shareholder distribution as appropriate. The firm does not pay dividends, which is typical for a young, fast-growing business that prioritizes investing back into the platform. In 2024, Hims repurchased \$83 million of stock—roughly 40% of free cash flow—at an average price of \$14.40, well below the market price as of August 2025. In hindsight, we see this as a disciplined use of capital.

Analyst Notes Archive

Hims & Hers Earnings: Core Business Remains Strong but International Expansion Pressures Margin

Keonhee Kim, Equity Analyst, 24 Feb 2026

Hims & Hers delivered 28% revenue growth and 10.5% adjusted EBITDA margin during the fourth quarter, with both figures landing above the midpoint of guidance. 2026 guidance includes \$2.8 billion in revenue at midpoint, or 19% growth, and 12% EBITDA margin. Shares are trending down on results. Why it matters: Revenue and EBITDA both came ahead of the prior quarter's guidance, but margin pressure looks to be a pain point for Hims heading into 2026. This is the first quarter since 2023 that Hims delivered a year-over-year decline in EBITDA margin, and the 2026 guidance suggests a similar level of pressure for next year. We see the strength of the core business as the main source of growth engine heading into 2026. In our view, Hims' weight-loss portfolio made up about 20% of total sales during the fourth quarter, down from 34% last year, and we model this to keep coming down throughout our 10-year model period. Pressure on gross margin, down 570 basis points, offset the operating efficiency Hims enjoyed during the quarter. While the increasing subscriber base and growing brand recognition led to improvements in marketing spending, international expansion efforts pressured costs. The bottom line: We lower our fair value estimate for no-moat Hims to \$23 from \$25

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after adjusting our assumptions to account for elevated costs related to geographic expansion, new therapy launches, and heightened competition. Our 2026 estimates of \$2.8 billion in revenue and \$330 million in EBITDA reflect low-teen subscriber growth, mid-single-digit monthly revenue per subscriber growth, and increased expenses to support a continued international push. Shares sold off 65% since the last earnings and now trade in 4-star territory. That said, we see a lot of question marks on the name, including litigation with Novo Nordisk, potential regulatory changes to the compounding industry, and the success of new launches and new markets. Our Very High Uncertainty Rating reflects these concerns.

Hims & Hers: Eucalyptus Acquisition Taps Into New Markets and Expands Subscriber Base Keonhee Kim, Equity Analyst, 19 Feb 2026

Hims & Hers announced an agreement to acquire Eucalyptus for up to \$1.15 billion. Eucalyptus is an international digital health platform with brands including Pilot and Juniper in Australia, the UK, Germany, Japan, and Canada. Hims shares are trading sideways Feb. 19 on the news. Why it matters: After the abrupt end to the oral semaglutide launch plan in early February, Hims gave investors a drama-free update. We view the acquisition as a continuation of the firm's strategy to expand its international presence and as an additional avenue of platform growth amid decelerating subscriber growth. Eucalyptus' offerings resemble Hims' core categories, including skin care, hair loss, sexual health, and weight loss, so integration should be fairly smooth. The Zava acquisition, closed in July 2025, looks to have integrated onto the platform smoothly, and we expect a similar outcome here. While this marks Hims' first entry into new markets like Australia and Japan, we think the firm's experience tapping into new geographies through the Zava acquisition should offer a good perspective. Eucalyptus serves more than 775,000 customers, so this could prove meaningful for Hims, potentially increasing the platform's subscribers by 30%, if all remain active and choose to onboard. The bottom line: We maintain our \$25 fair value estimate for no-moat Hims. The purchase price reflects roughly 2.5 times Eucalyptus' annual revenue run-rate of \$450 million, on par with what Hims paid for Zava, and we see this as fairly priced. Hims is expected to pay \$240 million up front in cash upon closing, which is expected during the middle of 2026, and the remaining \$900 million consists of guaranteed and milestone payments through 2029. We still think the more important debate around the stock is the future of the compounded weight-loss market, litigation impacts, and the durability of core business growth. We hope to hear more thoughts on these subjects during fourth-quarter earnings on Feb. 23.

Hims and Novo Nordisk: Compounded Oral Semaglutide Pulled After Legal Challenge and HHS Pressure Keonhee Kim, Equity Analyst, 9 Feb 2026

Hims & Hers announced it will stop offering compounded oral semaglutide on Feb. 7, two days after the launch. The move follows Novo Nordisk's statement on its intent to take legal action and significant regulatory movement at the Department of Health and Human Services. Why it matters: Hims shares

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are down 20% Feb. 9 as the news kills the excitement of the new offering, increases legal concerns, and exacerbates the uncertainty around the compounding industry. Novo officially announced its lawsuit against Hims on Feb. 9, even after the pill was pulled, and is seeking redress (possibly royalties or lost profits) on top of a permanent ban on all compounded semaglutide products. This was among the scenarios that we considered possible, but the quick turnabout on the launch was unexpected. The oral product discontinuation eases litigation concerns, but we reiterate our Very High Uncertainty Rating for Hims as we consider potential implications. Competition from a compounded oral semaglutide could have taken momentum out of Novo's Wegovy pill launch and forced further pricing pressure on the GLP-1 market, indirectly affecting other therapies including Lilly's upcoming orforglipron pill launch in the second quarter. The bottom line: We maintain our fair value estimates for no-moat Hims (\$25) and wide-moat Novo Nordisk (DKK 372/\$59). We think the recent selloff is momentum-driven and doesn't consider Hims' wide and growing portfolio outside of weight-loss. We think Novo's long-run competitiveness in the GLP-1 market remains underappreciated by the market. Given the uncertainty around several potential outcomes, we have not made any changes to our models at this time. But fully removing future GLP-1 contributions would decrease our Hims fair value by a low-teens percentage. Litigation charges and potential payments to Novo could take many shapes and sizes, in our view, and we expect Hims shares to be pressured by this overhang until there is more clarity on the outcome.

Hims and Novo Nordisk: Compounded Oral Semaglutide Launch Challenges Legal Framework

Keonhee Kim, Equity Analyst, 5 Feb 2026

Hims & Hers announced the launch of oral semaglutide on Feb. 5. The new treatment plan starts at \$49 per month and directly competes with Novo Nordisk's Wegovy pill, which launched in January 2026. Hims and Novo shares are down 6% and 8%, respectively. Why it matters: Novo's Wegovy pill launch has had a strong kickoff, but Hims' new product could throw a curveball at this trajectory. The two firms have a contentious relationship following their short-lived collaboration, which ended in June 2025. Hims still offers personalized semaglutide injectables and has not yet faced any material litigation or regulatory challenges. But launching oral semaglutide so soon after the branded launch, particularly absent any shortages, could risk triggering an attack from Novo and government agencies. Novo's launch of the Wegovy pill is one bright spot in its overall weak 2026 outlook, and maximizing its launch ahead of Lilly's potential second-quarter launch of competing oral orforglipron has been their key focus. Hims is jeopardizing this valuable time window and is likely to trigger legal action. The bottom line: We maintain our fair value estimates for no-moat Hims (\$25) and wide-moat Novo Nordisk (DKK 372/\$59). We think our High uncertainty rating for Novo and Very High uncertainty rating for Hims help account for the significant uncertainty around the oral GLP-1 market in 2026. A range of outcomes is possible, including more Food and Drug Administration restrictions on 503A compounded drugs. Since oral semaglutide has never been on a shortage list, the grey area of legality in which Hims operates appears to be moving closer to a red line, in our view. If allowed to stay on the market, the Hims oral could

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significantly limit the growth of branded obesity drug sales at Novo and Lilly. That said, a lack of legal or regulatory action regarding this launch could put other branded launches at risk in the future, raising doubts about its approval.

Hims & Hers Earnings: Scale Continues to Grow but Subscriber Growth Decelerates; Shares Overvalued Keonhee Kim,Equity Analyst,4 Nov 2025

Hims & Hers delivered 49.2% year-over-year revenue growth and a 13.1% adjusted EBITDA margin during the third quarter. Both figures came ahead of guidance and investors reacted favorably, sending shares up 3% after hours. Why it matters: Increasing adoption of personalized solutions across both Hims and Hers platforms is helping maintain the firm's growth momentum, and we expect these customers to build stickier relationships with the platform than those with generic solutions. While the year-over-year comparison looks strong, one thing that caught our attention is the continual decrease in sequential subscriber growth. Since hitting 10% in the third quarter of last year, the number has fallen every quarter, and this quarter's growth was 1.3%. While we still model decent growth next year, thanks to recent expansion into new categories, a failure to increase this base could signal a red flag in the business. The improved adjusted EBITDA margin, despite cost headwinds from shipping dynamics, demonstrates Hims' continued improvement from a marketing and efficiency perspective. Marketing as a percentage of sales fell roughly 700 basis points against last year. The bottom line: We maintain our \$25 fair value estimate for no-moat Hims & Hers and see shares as very overvalued. Our 2025 forecast of \$2.35 billion in revenue and \$310 million in adjusted EBITDA both sit at the midpoint of guidance. However, we continue to see the 2030 target of at least \$6.5 billion in revenue as too lofty. Headwinds from low barriers to entry, fierce competition, and challenges in international expansion pose threats. While we acknowledge that core business growth still looks solid, questions about platform expansion should be raised if subscriber growth decelerates further. Beyond results, we think the restarted discussions with Novo Nordisk excited investors and added fuel to the stock's movement.

Hims & Hers: Menopause Launch Fuels Retail Investor Craze, but We Still See Shares Overvalued Keonhee Kim,Equity Analyst,15 Oct 2025

Hims & Hers announced the launch of menopause and perimenopause offerings and commented that the Hers business is on track to surpass \$1 billion in revenue in 2026. Shares surged on the news and closed 16% higher. Why it matters: While we are pleased to see the firm continuing its specialty expansion, we see today's market movement as a severe overreaction to the news. The timing of this launch comes as expected, and we don't anticipate any major revenue tailwinds from it in the near term. By our analysis, Hers makes up about 20% of total subscribers and a higher portion of the firm's revenue since more weight-loss users are women than men. Using our 2026 revenue forecast of \$2.7 billion, we think the Hers business could reach around \$850 million—lower than management's expected \$1 billion—in 2026. The stock, which has experienced typical volatility and mainly traded

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sideways over the past three months, rallied, a move we believe reflects retail investors buying into the hype rather than fundamentals. The bottom line: We maintain our \$25 fair value for no-moat Hims & Hers. We model moderate tailwinds from new launches(testosterone and menopause) n 2026. But it has historically taken Hims 18-24 months for a new specialty to get to 100,000 subscribers, and we think it could take several quarters before we start to see meaningful contributions. Coming up: Hims reports third-quarter earnings on Nov. 3. It forecast \$580 million in quarterly revenue and \$65 million in adjusted EBITA at the midpoint, both of which we think are achievable targets. ■■■

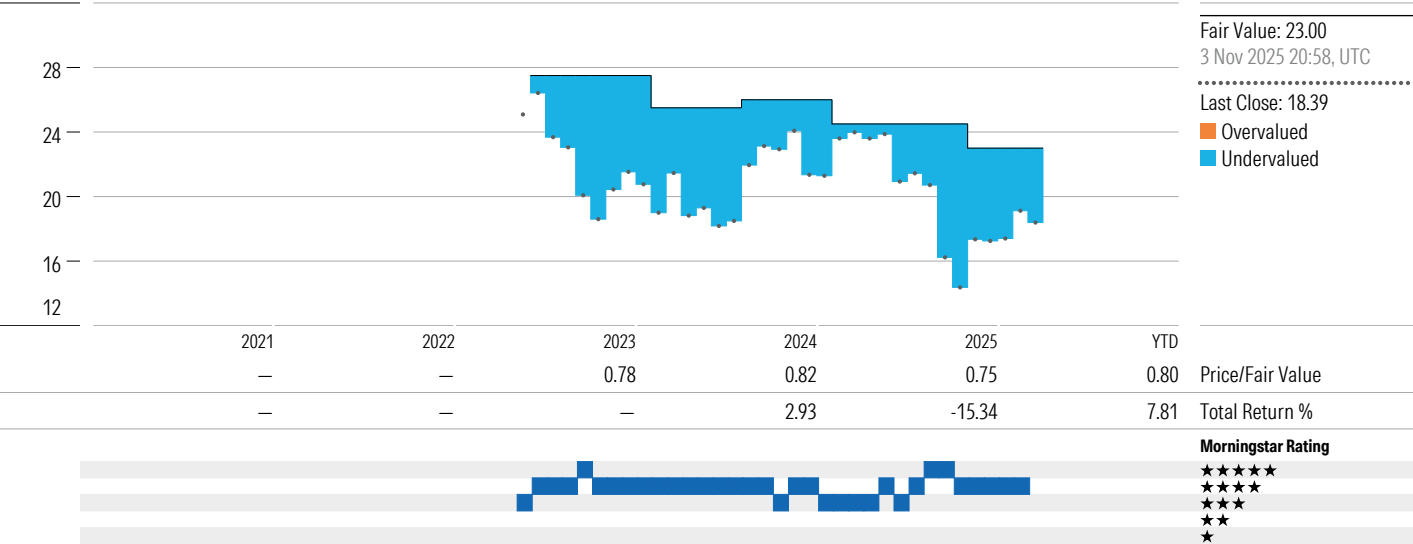
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Hims & Hers Health Inc Ordinary Shares - Class A HIMS ★★★★★ 6 Mar 2026 22:52, UTC

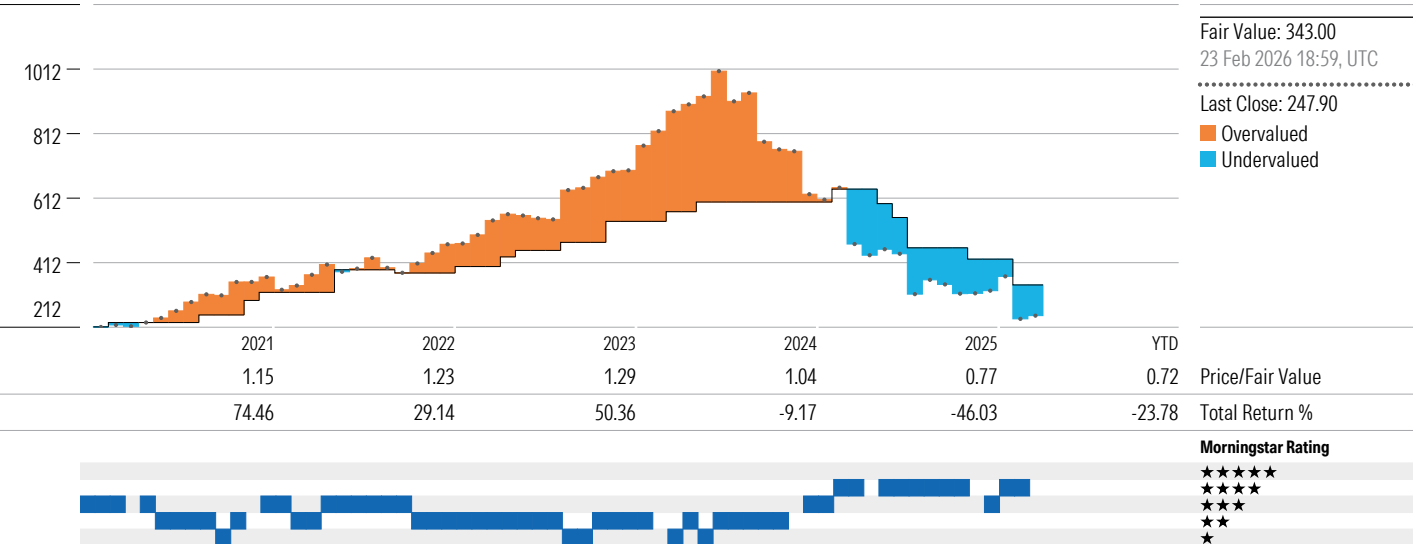
Competitors Price vs. Fair Value

Kenvue Inc KVUE



Total Return % as of 06 Mar 2026. Last Close as of 06 Mar 2026. Fair Value as of 3 Nov 2025 20:58, UTC.

Novo Nordisk AS Class B NOVO B

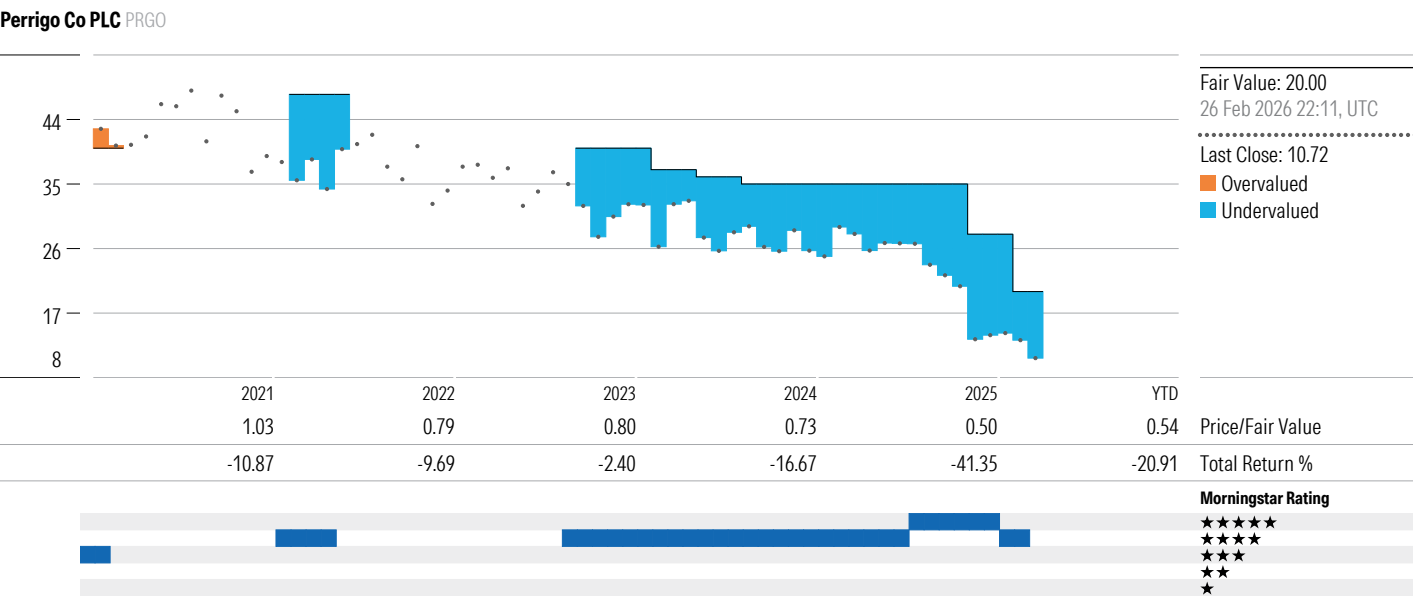


Total Return % as of 06 Mar 2026. Last Close as of 06 Mar 2026. Fair Value as of 23 Feb 2026 18:59, UTC.

Hims & Hers Health Inc Ordinary Shares - Class A

HIMS★★★★6 Mar 2026 22:52, UTC

Competitors Price vs. Fair Value



Total Return % as of 06 Mar 2026. Last Close as of 06 Mar 2026. Fair Value as of 26 Feb 2026 22:11, UTC.

Hims & Hers Health Inc Ordinary Shares - Class A HIMS ★★★★★ 6 Mar 2026 22:52, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment¹
15.74 USD 6 Mar 2026	23.00 USD 24 Feb 2026 00:29, UTC	0.68	5.08 USD Bil 9 Mar 2026	None	Small Growth	Very High	Standard	 4 Mar 2026 06:00, UTC

Morningstar Valuation Model Summary

Financials as of 23 Feb 2026

Fiscal Year, ends 31 Dec	Actual			Forecast				
	2022	2023	2024	2025	2026	2027	2028	2029
Revenue (USD K)	526,916	872,000	1,476,514	2,346,569	2,784,103	3,156,050	3,519,741	3,843,966
Operating Income (USD K)	-68,697	-29,453	61,903	103,249	119,716	164,115	253,421	357,489
EBITDA (USD K)	-60,845	-21,085	78,450	149,594	168,239	211,455	306,609	415,341
Adjusted EBITDA (USD K)	-15,779	49,515	176,873	320,301	332,588	394,125	498,980	616,207
Net Income (USD K)	-65,818	-23,393	125,838	123,752	116,655	154,963	229,136	314,822
Adjusted Net Income (USD K)	-65,818	-23,393	125,838	123,752	116,655	154,963	229,136	314,822
Free Cash Flow To The Firm (USD K)	-70,091	-29,033	77,335	-201,860	-66,424	-17,100	70,103	169,030
Weighted Average Diluted Shares Outstanding (Mil)	205	209	237	250	250	250	248	247
Earnings Per Share (Diluted) (USD)	-0.32	-0.11	0.53	0.50	0.47	0.62	0.92	1.28
Adjusted Earnings Per Share (Diluted) (USD)	-0.32	-0.11	0.53	0.50	0.47	0.62	0.92	1.28
Dividends Per Share (USD)	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00

Margins & Returns as of 23 Feb 2026

	3 Year Avg	Actual			Forecast					5 Year Avg
		2022	2023	2024	2025	2026	2027	2028	2029	
Operating Margin %	-4.1	-13.0	-3.4	4.2	4.4	4.3	5.2	7.2	9.3	6.0
EBITDA Margin %	—	-11.6	-2.4	5.3	6.4	6.0	6.7	8.7	10.8	—
Adjusted EBITDA Margin %	—	-3.0	5.7	12.0	13.7	12.0	12.5	14.2	16.0	13.7
Net Margin %	-2.2	-12.5	-2.7	8.5	5.3	4.2	4.9	6.5	8.2	7.8
Adjusted Net Margin %	-2.2	-12.5	-2.7	8.5	5.3	4.2	4.9	6.5	8.2	5.8
Free Cash Flow To The Firm Margin %	-3.8	-13.3	-3.3	5.2	-8.6	-2.4	-0.5	2.0	4.4	-1.0

Growth & Ratios as of 23 Feb 2026

	3 Year CAGR	Actual			Forecast					5 Year CAGR
		2022	2023	2024	2025	2026	2027	2028	2029	
Revenue Growth %	75.8	93.8	65.5	69.3	58.9	18.7	13.4	11.5	9.2	21.1
Operating Income Growth %	—	-40.3	-57.1	-310.2	66.8	16.0	37.1	54.4	41.1	42.0
EBITDA Growth %	-148.9	-43.2	-65.4	-472.1	90.7	12.5	25.7	45.0	35.5	28.8
Adjusted EBITDA Growth %	-280.5	-47.5	-413.8	257.2	81.1	3.8	18.5	26.6	23.5	28.4
Earnings Per Share Growth %	—	-44.2	-65.3	-575.5	-6.9	-5.7	32.8	48.9	38.3	19.2
Adjusted Earnings Per Share Growth %	—	-44.2	-65.3	-575.5	-6.9	-5.7	32.8	48.9	38.3	19.2

Valuation as of 23 Feb 2026

	Actual			Forecast				
	2022	2023	2024	2025	2026	2027	2028	2029
Price/Earning	—	-80.9	45.6	31.5	33.5	25.4	17.1	12.3
Price/Sales	—	6.1	5.0	1.5	1.3	1.1	1.0	0.9
Price/Book	—	5.4	12.0	6.6	5.5	4.5	3.7	3.0
Price/Cash Flow	—	—	—	—	—	—	—	—
EV/EBITDA	—	102.9	44.5	12.9	12.4	10.5	8.3	6.7
EV/EBIT	—	-173.1	127.1	40.0	34.5	25.2	16.3	11.6
Dividend Yield %	—	—	—	—	—	—	—	—
Dividend Payout %	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Free Cash Flow Yield %	—	—	—	—	—	—	—	—

Operating Performance / Profitability as of 23 Feb 2026

Fiscal Year, ends 31 Dec	Actual			Forecast				
	2022	2023	2024	2025	2026	2027	2028	2029
ROA %	-5.3	17.8	6.4	5.5	6.6	8.9	10.9	12.5
ROE %	-6.8	26.4	20.6	16.3	17.8	21.8	23.9	24.7
ROIC %	38.9	41.1	34.0	25.2	20.2	17.4	15.3	13.9

Hims & Hers Health Inc Ordinary Shares - Class A HIMS ★★★★★ 6 Mar 2026 22:52, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment¹
15.74 USD 6 Mar 2026	23.00 USD 24 Feb 2026 00:29, UTC	0.68	5.08 USD Bil 9 Mar 2026	None	Small Growth	Very High	Standard	 4 Mar 2026 06:00, UTC

Financial Leverage (Reporting Currency)	Actual			Forecast				
	2022	2023	2024	2025	2026	2027	2028	2029
Fiscal Year, ends 31 Dec								
Debt/Capital %	0.4	0.5	0.2	15.0	13.9	12.9	12.0	11.2
Assets/Equity	1.2	1.3	1.5	3.2	3.0	2.7	2.4	2.2
Net Debt/EBITDA	2.9	10.0	-3.7	2.8	3.1	2.7	1.9	1.1
Total Debt/EBITDA	-0.3	0.2	0.1	3.1	3.0	2.5	2.0	1.6
EBITDA/ Net Interest Expense	6.0	-5.5	-17.1	-14.6	-12.7	-13.3	-15.1	-17.1

Forecast Revisions as of 23 Feb 2026	2025		2026		2027	
	Current	Prior	Current	Prior	Current	Prior
Prior data as of 3 Nov 2025						
Fair Value Estimate Change (Trading Currency)	23.00	25.19	—	—	—	—
Revenue (USD Mil)	2,347	1,477	2,784	2,347	3,156	2,794
Operating Income (USD Mil)	103	62	120	115	164	187
EBITDA (USD Mil)	320	177	333	313	394	383
Net Income (USD Mil)	124	126	117	144	155	171
Earnings Per Share (Diluted) (USD)	0.50	0.53	0.47	0.57	0.62	0.68
Adjusted Earnings Per Share (Diluted) (USD)	0.50	0.53	0.47	0.57	0.62	0.68
Dividends Per Share (USD)	0.00	0.00	0.00	0.00	0.00	0.00

Key Valuation Drivers as of 23 Feb 2026

Cost of Equity %	9.0
Pre-Tax Cost of Debt %	5.3
Weighted Average Cost of Capital %	8.9
Long-Run Tax Rate %	20.0
Stage II EBI Growth Rate %	5.0
Stage II Investment Rate %	50.0
Perpetuity Year	11

Additional estimates and scenarios available for download at <https://pitchbook.com/>.

Discounted Cash Flow Valuation as of 23 Feb 2026

	USD Mil
Present Value Stage I	1,150
Present Value Stage II	149
Present Value Stage III	3,504
Total Firm Value	4,802
Cash and Equivalents	221
Debt	0
Other Adjustments	0
Equity Value	5,024
Projected Diluted Shares	241
Fair Value per Share (USD)	23.00

Hims & Hers Health Inc Ordinary Shares - Class A HIMS ★★★★★ 6 Mar 2026 22:52, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment¹
15.74 USD 6 Mar 2026	23.00 USD 24 Feb 2026 00:29, UTC	0.68	5.08 USD Bil 9 Mar 2026	None	Small Growth	Very High	Standard	 4 Mar 2026 06:00, UTC

ESG Risk Rating Breakdown

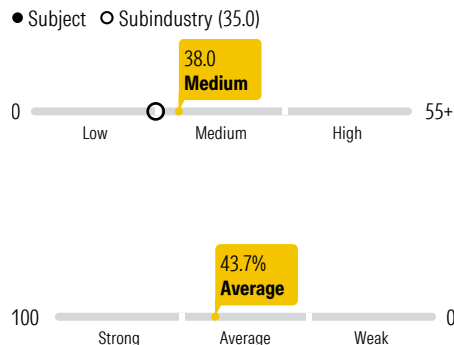
Exposure

Company Exposure¹	38.0
- Manageable Risk	35.4
Unmanageable Risk²	2.6

Management

Manageable Risk	35.4
- Managed Risk³	15.5
Management Gap⁴	19.9

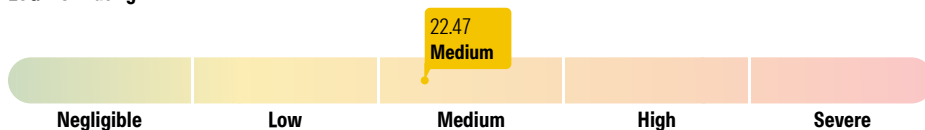
Overall Unmanaged Risk 22.5



- Exposure represents a company's vulnerability to ESG risks driven by their business model
- Exposure is assessed at the Subindustry level and then specified at the company level
- Scoring ranges from 0-55+ with categories of low, medium, and high-risk exposure

- Management measures a company's ability to manage ESG risks through its commitments and actions
- Management assesses a company's efficiency on ESG programs, practices, and policies
- Management score ranges from 0-100% showing how much manageable risk a company is managing

ESG Risk Rating



ESG Risk Ratings measure the degree to which a company's value is impacted by environmental, social, and governance risks, by evaluating the company's ability to manage the ESG risks it faces.

1. A company's Exposure to material ESG issues 2. Unmanageable Risk refers to risks that are inherent to a particular business model that cannot be managed by programs or initiatives 3. Managed Risk = Manageable Risk multiplied by a Management score of 43.7% 4. Management Gap assesses risks that are not managed, but are considered manageable 5. ESG Risk Rating Assessment = Overall Unmanaged Risk = Management Gap plus Unmanageable Risk

ESG Risk Rating Assessment⁵



ESG Risk Rating is of Mar 04, 2026. Highest Controversy Level is as of —. Sustainalytics Subindustry: —. Sustainalytics provides Morningstar with company ESG ratings and metrics on a monthly basis and as such, the ratings in Morningstar may not necessarily reflect current Sustainalytics' scores for the company. For the most up to date rating and more information, please visit: sustainalytics.com/esg-ratings/.

Peer Analysis 04 Mar 2026

Peers are selected from the company's Sustainalytics-defined Subindustry and are displayed based on the closest market cap values

Company Name	Exposure	Management	ESG Risk Rating
Hims & Hers Health Inc	38.0 Medium 0 —●— 55+	43.7 Average 100 —●— 0	22.5 Medium 0 —●— 40+
Community Health Systems Inc	48.8 Medium 0 —●— 55+	32.7 Average 100 —●— 0	33.9 High 0 —●— 40+
Novo Nordisk AS	47.4 Medium 0 —●— 55+	65.0 Strong 100 —●— 0	18.7 Low 0 —●— 40+
Perrigo Co PLC	51.2 Medium 0 —●— 55+	40.5 Average 100 —●— 0	32.9 High 0 —●— 40+
Kenvue Inc	45.2 Medium 0 —●— 55+	58.6 Strong 100 —●— 0	21.7 Medium 0 —●— 40+

Appendix

Historical Morningstar Rating

Hims & Hers Health Inc Ordinary Shares - Class A HIMS 6 Mar 2026 22:52, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	—	★★★★	★★★★	★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★	★★	★	★	—	—	—	—	—	—	—	—
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
—	—	—	—	—	—	—	—	—	—	—	—
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
—	—	—	—	—	—	—	—	—	—	—	—
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
—	—	—	—	—	—	—	—	—	—	—	—
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
—	—	—	—	—	—	—	—	—	—	—	—

Kenvue Inc KVUE 6 Mar 2026 22:54, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	—	★★★★	★★★★	★★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★★	★★★★	★★★★★	★★★★★	★★★★	★★★	★★★★	★★★	★★★	★★★	★★★	★★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★★	★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★★	★★★★	★★★★★	★★★★	★★★★	★★★★	★★★	—	—	—	—	—
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
—	—	—	—	—	—	—	—	—	—	—	—
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
—	—	—	—	—	—	—	—	—	—	—	—

Novo Nordisk AS Class B NOVO B 7 Mar 2026 08:05, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	—	★★★★	★★★★	★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
—	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	—	★★★★	★★★★	★★★	★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
—	★★	★★	★★	★★	★★	★	★★	★	—	★★	★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★	★★	★	★	★★	★★	★★	★★	★★	★★	★★	★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★	★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★	★★	★★★★	★★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
—	★★	★	★★	★★	★★	★★	★★★★	—	★★★★	★★★★	★★★★

Perrigo Co PLC PRGO 6 Mar 2026 22:35, UTC

Dec 2026 —	Nov 2026 —	Oct 2026 —	Sep 2026 —	Aug 2026 —	Jul 2026 —	Jun 2026 —	May 2026 —	Apr 2026 —	Mar 2026 ★★★★	Feb 2026 ★★★★	Jan 2026 ★★★★★
Dec 2025 ★★★★★	Nov 2025 ★★★★★	Oct 2025 ★★★★★	Sep 2025 ★★★★★	Aug 2025 ★★★★★	Jul 2025 ★★★★	Jun 2025 ★★★★	May 2025 ★★★★	Apr 2025 ★★★★	Mar 2025 ★★★★	Feb 2025 ★★★★	Jan 2025 ★★★★
Dec 2024 ★★★★	Nov 2024 ★★★★	Oct 2024 ★★★★	Sep 2024 ★★★★	Aug 2024 ★★★★	Jul 2024 ★★★★	Jun 2024 ★★★★	May 2024 ★★★★	Apr 2024 ★★★★	Mar 2024 ★★★★	Feb 2024 ★★★★	Jan 2024 ★★★★
Dec 2023 ★★★★	Nov 2023 ★★★★	Oct 2023 ★★★★	Sep 2023 ★★★★	Aug 2023 —	Jul 2023 —	Jun 2023 —	May 2023 —	Apr 2023 —	Mar 2023 —	Feb 2023 —	Jan 2023 —
Dec 2022 —	Nov 2022 —	Oct 2022 —	Sep 2022 —	Aug 2022 —	Jul 2022 —	Jun 2022 —	May 2022 ★★★★	Apr 2022 ★★★★	Mar 2022 ★★★★	Feb 2022 ★★★★	Jan 2022 —
Dec 2021 —	Nov 2021 —	Oct 2021 —	Sep 2021 —	Aug 2021 —	Jul 2021 —	Jun 2021 —	May 2021 —	Apr 2021 —	Mar 2021 —	Feb 2021 ★★★	Jan 2021 ★★★

Research Methodology for Valuing Companies

Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, in-depth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss short-term market-price movements), but we believe these negatives are mitigated by deep analysis and our long-term approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our single-point star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a

long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in working capital accounts, and capital spending. Based on these projections, we calculate earnings before interest,

after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating is designed to capture the range of potential outcomes for a company's intrinsic value. This rating is used to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating is aimed at identifying the confidence we should have in assigning a fair value estimate for a given stock.

Our Uncertainty Rating is meant to take into account anything that can increase the potential dispersion of future

Morningstar Equity Research Star Rating Methodology



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outcomes for the intrinsic value of a company, and anything that can affect our ability to accurately predict these outcomes. The rating begins with a suggested rating produced by a quantitative process based on the trailing 12-month standard deviation of daily stock returns. An analyst overlay is then applied, with analysts using the suggested rating, historical rating data, and their own knowledge of the company to inform them as they make the final Uncertainty Rating decision. Ultimately, the rating decision rests with the analyst. Analysts take into account many characteristics when making their final decision, including cyclical factors, operational and financial factors such as leverage, company-specific events, ESG risks, and anything else that might increase the potential dispersion of future outcomes and our ability to estimate those outcomes.

Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the potential dispersion of outcomes, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the Uncertainty Rating provides guidance in portfolio construction based on risk tolerance.

Our Uncertainty Ratings are: Low, Medium, High, Very High, and Extreme.

Margin of Safety		
Qualitative Analysis	★★★★★ Rating	★ Rating
Uncertainty Ratings		
Low	20% Discount	25% Premium
Medium	30% Discount	35% Premium
High	40% Discount	55% Premium
Very High	50% Discount	75% Premium
Extreme	75% Discount	300% Premium

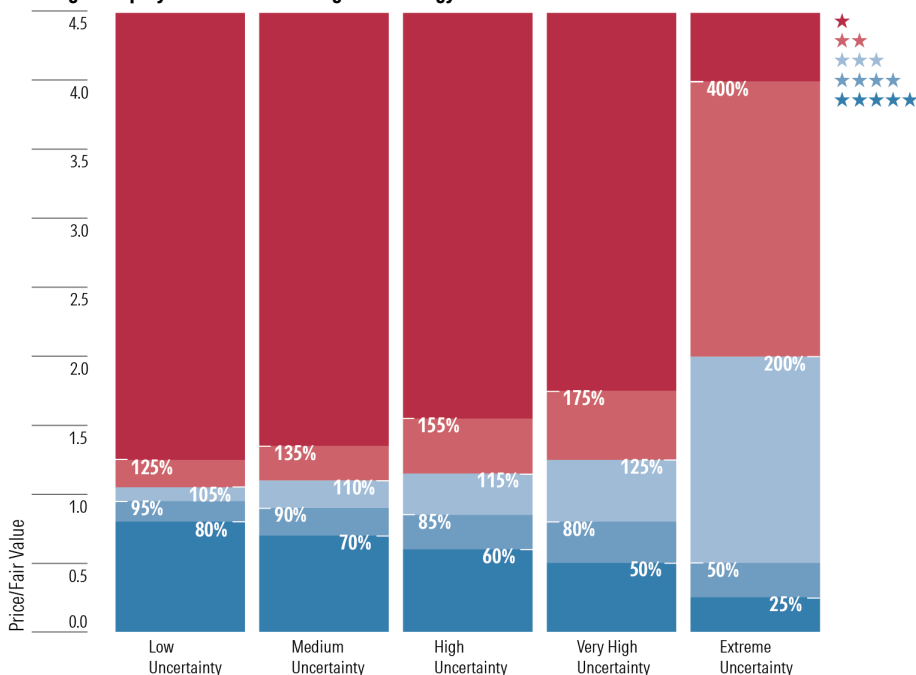
Our uncertainty rating is based on the interquartile range, or the middle 50% of potential outcomes, covering the 25th percentile–75th percentile. This means that when a stock hits 5 stars, we expect there is a 75% chance that the intrinsic value of that stock lies above the current market price. Similarly, when a stock hits 1 star, we expect there is a 75% chance that the intrinsic value of that stock lies below the current market price.

4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to <https://shareholders.morningstar.com>

Morningstar Equity Research Star Rating Methodology



Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk-adjusted return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multi-year time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Other Definitions

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments,

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and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments, and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

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Sustainalytics ESG Risk Rating Assessment: The ESG Risk Rating Assessment is provided by Sustainalytics; a Morningstar company.

Sustainalytics' ESG Risk Ratings measure the degree to which company's economic value at risk is driven by environment, social and governance (ESG) factors.

Sustainalytics analyzes over 1,300 data points to assess a company's exposure to and management of ESG risks. In other words, ESG Risk Ratings measures a company's unmanaged ESG Risks represented as a quantitative score.

Unmanaged Risk is measured on an open-ended scale starting at zero (no risk) with lower scores representing less unmanaged risk and, for 95% of cases, the unmanaged ESG Risk score is below 50.

Based on their quantitative scores, companies are grouped into one of five Risk Categories (negligible, low, medium, high, severe). These risk categories are absolute, meaning that a 'high risk' assessment reflects a comparable degree of unmanaged ESG risk across all subindustries covered.

The ESG Risk Rating Assessment is a visual representation of Sustainalytics ESG Risk Categories on a 1 to 5 scale. Companies with Negligible Risk = 5 Globes, Low Risk = 4, Medium Risk = 3 Globes, High Risk = 2 Globes, Severe Risk = 1 Globe. For more information, please visit sustainalytics.com/esg-ratings/

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